

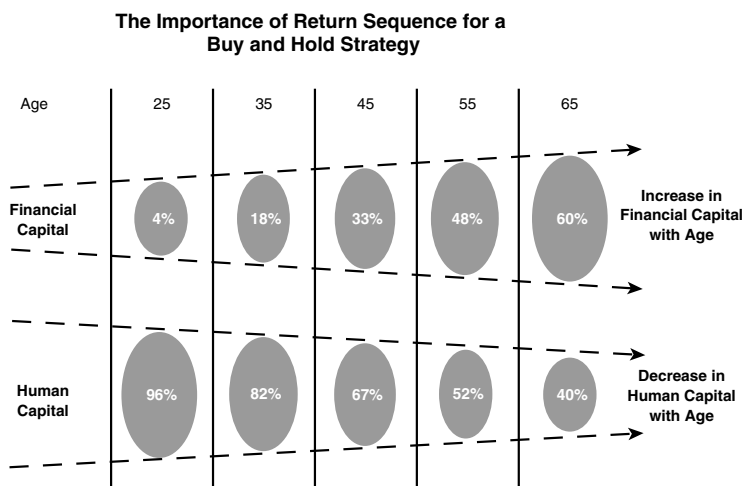


Figure 1.4 A snapshot of your evolving economic life.

Source: Ibbotson Associates.

Hence, the ongoing health of You, Inc.'s financial situation depends on converting your finite human capital into financial capital, and ensuring that you grow your financial capital sufficiently to support you and your family when the "gold mine" of human capital can no further be mined.

You will see in the future chapters that the size of this important asset has relevance for numerous investment decisions that you will be faced with throughout your life cycle. The value of your human capital is what you should consider when purchasing life and other forms of insurance, and your human capital's riskiness should be incorporated into all your investment decisions.

Summary

- The typical 40-year-old has almost \$50 of debt per \$100 of assets. Overall, the typical family unit has \$30 of debt per \$100 of assets. The median amount of money in retirement accounts is a mere \$35,000, and 50% of American families do not have any retirement account. All this implies that many Americans will have to drastically reduce their standard of living at retirement or retire much later than they expected.